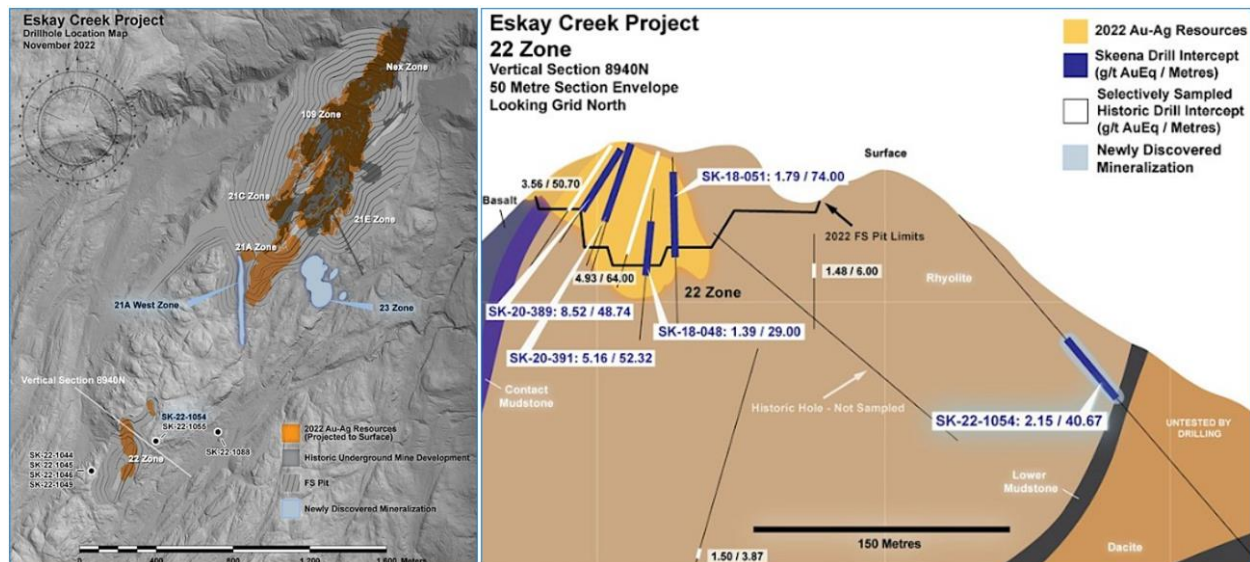


Ticker: SKE CN **Cash 3Q22:** C\$27m **Project:** Eskay Creek
Market cap: C\$586m **Price:** C\$7.74/sh **Country:** Canada, BC
REC. (unc): BUY **TARGET (unc):** C\$10.80/sh **RISK RATING (unc):** HIGH

Today's shallow headline hit of **40.7m @ 2.1 g/t AuEq** east of 22 Zone is impressive on grade, width and implied strip (~20m vertical)—outside the MRE for potential ounce additions. The new mineralization lies in a previously undrilled area notably within the rhyolite breccia that has recently seen significant hits from 21 and 21A West Zone drilling (last week's 17.2m @ 7.9 g/t AuEq). Digging in, drilling east of 22 Zone returned **7.6m @ 2.7 g/t AuEq** on average, including narrower **1.5m @ 4.4-6.0g/t AuEq**, well above current OP resource grades and in line with UG resource grades (5.3Moz @ 3.2g/t OP; 279koz @ 5.23g/t UG). Other hits to southwest of 22 Zone averaged **8.4m @ 2.3 g/t** with highest grade **4.1m @ 4.0g/t AuEq** deeper (~425m down-hole), but still within suitable mining widths. Whilst early, the attraction is a potential pit expansion (or second smaller-scale pit with lower strip ratio) with successful follow up drilling. Still, the main open-pit core is the sweetest, averaging ~4 g/t AuEq. Our key-take home here is that Eskay has the potential to grow with the added high-grade rhyolite feeders which were untested in the past. As such, **we maintain our BUY rating and C\$10.80/sh PT based on 0.6xNAV_{5%-1700}**. Looking ahead, early construction works at Eskay, progress on permitting and more results from the 2022 drill program are expected, providing abundant news flow as the project continues to make headway this year, giving more torque on Skeena's stock.

Figure 1. Eskay Creek Plan view and 22 Zone vertical section showing today's drilling



Source: Skeena

New near-surface high-grade ~200m east of 22 Zone; 40.7m @ 2.1g/t AuEq ~20m vertical

Skeena reported results from seven step-out holes around the 22 Zone, highlighting **40.7m @ 2.1 g/t AuEq** from 23m below surface within Rhyolite breccias and 200m east of the 22 Zone, in an area with no previous historical drilling and outside of the current open-pit shell. Other hits east of 22 Zone include **1.5m @ 6.0g/t** and **1.5m @ 4.4g/t**, from 278-288m down the hole. Another intercept southwest of 22 Zone returned **13m @ 2.4 g/t AuEq** from 250m, and **4.1m @ 4g/t** from 421m, again outside of the current open-pit shell. Additional drilling is planned in this area for next year to follow-up and define the geometry and continuity of the mineralization around the 22 Zone.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex

- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 2023: permitting updates
- 3Q23: SCPe build start
- CY26: SCPe first production
- 2H22: Exploration and AWF infill / expansion drilling

Research

Brock Salier (London) M: +44 7400 666 913 bsalier@sprott.com

Eleanor Magdzinski (Toronto) M: +1 705 669 7456 emagdzinski@sprott.com

Konstantinos Kormpis (Toronto) M: +1 778-957-3623 kkormpis@sprott.com

22 November 2022

Ticker: SKE CN	Price / mkt cap: C\$7.74/sh, C\$586m	Project PNAV today: 0.4x	Asset: Eskay Creek / Snip
Author: B Salier/ E Magdzinski	Rec / 0.6xNAV PT: BUY, C\$10.8/sh	1xNAV_{4Q22} FF FD: C\$19.58/sh	Country: Canada: BC

Commodity price	CY18A	CY19A	CY20A	CY21A	CY22E	Resource / Reserve	AuEq (koz)	AuEq (g/t)
Gold price	1,700	1,700	1,700	1,700	1,700	Pittable resource	5329koz	3.20g/t
SOTP project valuation*						Underground resource	279koz	5.23g/t
	C\$m	O/ship	NAVx	C\$/sh		Snip	646koz	13.60g/t
Ungeared proj. @ build start (3Q23)	1,612	100%	1.00x	19.44		Funding: uses		Funding: sources
Cash 3Q22	27	100%	1.00x	0.33		Build Capex	C\$592m	Cash 3Q22 C\$44m
Cash from options	55	100%	1.00x	0.67		SCPe G&A to 1st Au + NSR buyback	C\$32m	Mine debt @ 65% gearing C\$385m
Rsr ex rsv @US\$50/oz	92	100%	1.00x	1.11		SCPe pre-production expl'n	C\$0m	Mine build equity at 0.4xNAV C\$207m
Snip (US\$75/oz)	65	100%	1.00x	0.79		SCPe finance costs + wkg cap	C\$38m	Total proceeds C\$636m
Asset NAV5% C\$1700/oz	1,852			22.3		Total uses	C\$663m	Buffer -C\$27m

*Shares diluted for options but not mine build	Market P/NAV5% 3Q22	0.35x	*Cash from options expiring pre first pour
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Share data				Ratio analysis	CY21A	CY22E	CY23E	CY24E	CY25E
Basic shares (m)	75.8	FD with build equity raise	109.5	Average shares out (m)	92.0	71.2	95.5	98.3	98.3
FD with options (m)	82.9			EPS (C\$/sh)	-	-	-	-	-

Asset value: 1xNPV project @ build start (C\$m, ungeared)*						CFPS (C\$/sh)	-	-	-	-	-
Project NPV (C\$m)*	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	EV (C\$m)	672.9	529.4	571.9	786.2	1,099.6
10.0% discount	1,146	1,283	1,418	1,554	1,689	FCF yield (%)	-	-	-	-	-
7.5% discount	1,313	1,466	1,618	1,769	1,921	PER (x)	-	-	-	-	-
5.0% discount	1,510	1,681	1,852	2,023	2,193	P/CF (x)	-	-	-	-	-
Ungeared project IRR:	41%	44%	48%	51%	54%	EV/EBITDA (x)	-	-	-	-	36.5x

Project NPV (C\$/sh)*	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	Income statement	CY21A	CY22E	CY23E	CY24E	CY25E
10.0% discount	13.82	15.46	17.10	18.73	20.36	Net revenue (C\$m)	-	-	-	-	39.0
7.5% discount	15.83	17.67	19.50	21.33	23.15	Gross profit (C\$m)	-	-	-	-	30.9
5.0% discount	18.20	20.27	22.3	24.38	26.44	D&A, attrib (C\$m)	0.3	0.2	-	-	5.9

*Project level NPV, excl finance costs and central SG&A, discounted to build start												
Group	valuation over time^	Dec-22	Dec-23	Dec-24	Dec-25	Dec-26						
Eskay Creek (C\$m)		1,575	1,677	1,919	2,302	2,368	Admin (C\$m)	22.9	18.7	16.1	12.1	-
Net cash prior qtr (C\$m)		27	1	30	(256)	(265)	Expensed exploration (C\$m)	107.5	71.9	-	-	-
G&A and finance costs (C\$m)		(99)	(88)	(98)	(85)	(42)	Finance cost (C\$m)	(0.2)	(0.3)	-	-	26.5
Cash from options (C\$m)		55	55	55	55	55	Royalty (C\$m)	-	-	-	-	0.7
Snip		65	65	65	65	65	Forex, other (C\$m)	(12.8)	(14.0)	-	-	-
							Taxes (C\$m)	-	-	-	-	3.3
							Net income (C\$m)	(117.6)	(76.5)	(16.1)	(12.1)	(5.5)

NAV FF FD (C\$m)	1,624	1,710	1,972	2,082	2,181	Cash flow, attrib.	CY21A	CY22E	CY23E	CY24E	CY25E
1xNAV _{5%} /sh FF FD (C\$/sh)	19.58^	15.62*	18.01*	19.02*	19.93*	EBIT (C\$m)	(117.8)	(76.8)	(16.1)	(12.1)	24.2

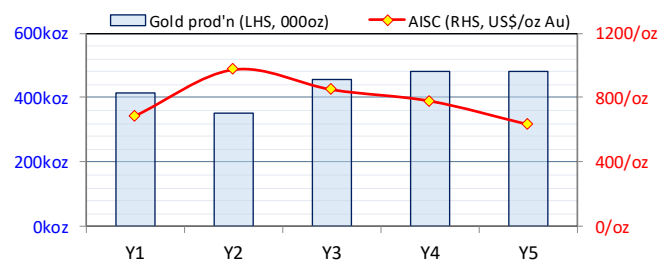
Geared company NAV diluted for mine build, net G&A and finance costs						Add back D&A (C\$m)	0.3	0.2	-	-	5.9
1xNAV FF FD (C\$/sh)^	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	Less tax + net interest (C\$m)	(0.2)	(0.3)	-	-	29.8
10.0% discount	1,606	1,783	1,959	2,135	2,312	Net change in wkg cap (C\$m)	(10.3)	12.1	-	(1.1)	(17.5)
7.5% discount	1,695	1,880	2,064	2,249	2,434	Add back other non-cash (C\$m)	1.4	(6.3)	-	-	-
5.0% discount	1,793	1,987	2,181	2,376	2,570	Cash flow ops (C\$m)	(126.1)	(70.5)	(16.1)	(13.2)	(17.2)
Geared project IRR:	39%	42%	45%	49%	52%	PP&E - build + sust. (C\$m)	(13.1)	(12.7)	(35.4)	(179.3)	(296.3)

1xNAV FF FD (C\$/sh)^	\$1500oz	\$1600oz	\$1700oz	\$1800oz	\$1900oz	PP&E - expl'n (C\$m)	(0.5)	(0.0)	22.5	-	-
10.0% discount	12.77	14.70	16.66	18.64	20.64	Cash flow inv. (C\$m)	(13.5)	(12.7)	(12.9)	(179.3)	(296.3)
7.5% discount	14.09	16.14	18.22	20.32	22.43	Share issue (C\$m)	137.0	65.2	174.4	-	-
5.0% discount	15.53	17.72	19.9	22.15	24.40	Proceeds from sale (C\$m)	5.0	-	-	-	-

^Project NPV incl grp SG&A & fin. cost; +net cash; *diluted for mine build equity	Debt draw (repay) (C\$m)	(1.6)	(0.3)	-	-	441.3
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Production	Y1	Y2	Y3	Y4	Y5	Cash flow fin. (C\$m)	140.5	64.9	174.4	-	441.3
Gold production (000oz)	413	352	457	481	480	Net change in cash (C\$m)	0.8	(18.3)	145.4	(192.5)	127.9
C1 cost (US\$/oz)	610	896	720	654	588	EBITDA (C\$m)	(117.5)	(76.6)	(16.1)	(12.1)	30.2
AISC cost (US\$/oz)	690	977	852	781	634	Balance sheet	CY21A	CY22E	CY23E	CY24E	CY25E

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Project PNAV today:	0.4x	Asset:	Eskey Creek / Snip
1xNAV_{4Q22} FF FD:	C\$19.58/sh	Country:	Canada: BC
Resource / Reserve	AuEq (koz)	AuEq (g/t)	
Pittable resource	5329koz	3.20g/t	
Underground resource	279koz	5.23g/t	
Snip	646koz	13.60g/t	

Funding: uses			Funding: sources	
	Build Capex	C\$592m	Cash 3Q22	C\$44m
SCPe G&A to 1st Au + NSR buyback		C\$32m	Mine debt @ 65% gearing	C\$385m
SCPe pre-production expl'n		C\$0m	Mine build equity at 0.4xNAV	C\$207m
SCPe finance costs + wkg cap		C\$38m	Total proceeds	C\$636m
	Total uses	C\$663m	Buffer	-C\$27m

*Cash from options expiring pre first pour

Ratio analysis	CY21A	CY22E	CY23E	CY24E	CY25E
Average shares out (m)	92.0	71.2	95.5	98.3	98.3
EPS (C\$/sh)	-	-	-	-	-

CFPS (C\$/sh)	-	-	-	-	-
EV (C\$m)	672.9	529.4	571.9	786.2	1,099.6
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	36.5x

Income statement	CY21A	CY22E	CY23E	CY24E	CY25E
Net revenue (C\$m)	-	-	-	-	39.0
Gross profit (C\$m)	-	-	-	-	30.9
D&A, attrib (C\$m)	0.3	0.2	-	-	5.9

Admin (C\$m)	22.9	18.7	16.1	12.1	-
Expensed exploration (C\$m)	107.5	71.9	-	-	-
Finance cost (C\$m)	(0.2)	(0.3)	-	-	26.5
Royalty (C\$m)	-	-	-	-	0.7
Forex, other (C\$m)	(12.8)	(14.0)	-	-	-
Taxes (C\$m)	-	-	-	-	3.3
Net income (C\$m)	(117.6)	(76.5)	(16.1)	(12.1)	(5.5)

Cash flow, attrib.	CY21A	CY22E	CY23E	CY24E	CY25E
EBIT (C\$m)	(117.8)	(76.8)	(16.1)	(12.1)	24.2

Add back D&A (C\$m)	0.3	0.2	-	-	5.9
Less tax + net interest (C\$m)	(0.2)	(0.3)	-	-	29.8
Net change in wkg cap (C\$m)	(10.3)	12.1	-	(1.1)	(17.5)
Add back other non-cash (C\$m)	1.4	(6.3)	-	-	-
Cash flow ops (C\$m)	(126.1)	(70.5)	(16.1)	(13.2)	(17.2)
PP&E - build + sust. (C\$m)	(13.1)	(12.7)	(35.4)	(179.3)	(296.3)

PP&E - expl'n (C\$m)	(0.5)	(0.0)	22.5	-	-
Cash flow inv. (C\$m)	(13.5)	(12.7)	(12.9)	(179.3)	(296.3)
Share issue (C\$m)	137.0	65.2	174.4	-	-
Proceeds from sale (C\$m)	5.0	-	-	-	-

Debt draw (repay) (C\$m)	(1.6)	(0.3)	-	-	441.3
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Cash flow fin. (C\$M)	140.5	64.9	174.4	-	441.3
Net change in cash (C\$m)	0.8	(18.3)	145.4	(192.5)	127.9
<i>EBITDA (C\$m)</i>	(117.5)	(76.6)	(16.1)	(12.1)	30.2
Balance sheet	CY21A	CY22E	CY23E	CY24E	CY25E

Cash (C\$M)	40.3	23.2	168.5	(23.9)	103.9
Acc rec., inv, prepaid (C\$M)	13.9	7.4	7.4	8.5	6.0
PP&E + other (C\$M)	100.8	124.2	137.1	316.4	606.7
Total assets (C\$M)	155.0	154.8	313.1	301.0	716.7
Debt (C\$M)	1.3	1.4	1.4	1.4	442.6
Accounts payable (C\$M)	12.5	20.6	20.6	20.6	0.6
Others (C\$M)	17.6	3.6	3.6	3.6	3.6
Total liabilities (C\$M)	31.4	25.6	25.6	25.6	446.9
Sh'hlds equity + wrmts (C\$M)	362.0	448.9	623.3	623.3	623.3
Retained earn'gs + rsvs (C\$M)	(238.4)	(319.7)	(335.9)	(348.0)	(353.5)
Liabilities + equity (C\$M)	155.0	154.8	313.1	301.0	716.7

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NEUTRAL: The stock's total returns are expected to be in line with the overall market

SELL: The stocks total returns are expected to be materially lower than the overall market

TENDER: The analyst recommends tendering shares to a formal tender offering

UNDER REVIEW: The stock will be placed under review when there is a significant material event with further information pending; and/or when the research analyst determines it is necessary to await adequate information that could potentially lead to a re-evaluation of the rating, target price or forecast; and/or when coverage of a particular security is transferred from one analyst to another to give the new analyst time to reconfirm the rating, target price or forecast.

NOT RATED ((N/R): The stock is not currently rated

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BUY:	51
HOLD:	1
SELL:	0
UNDER REVIEW:	1
TENDER:	0
NOT RATED:	0
TOTAL	53

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